

SK Hynix



Oversold at 1x ex-cash PE

Key Points

- SK Hynix OP rose 61% QoQ to Won60.5tr, 12% below our above-consensus forecast. NP amounted to Won94tr on the gains of Kioxia stake sales.
- Hynix expects AI infrastucture spending to continue, driving up memory demand. Shareholder return measure to come within this year.
- TP trim by 15% to Won3.4mn on EPS cut. The stock seems oversold, trading at 1.3x forward PB. Maintain OP/Marquee Buy.

Disconnection between strong earnings and plunged share price

- **Slight earnings miss in 2Q26.** Its 61% QoQ OP growth was largely driven by blended ASP increase in DRAM (30%)/NAND (55%). However, this price growth seems lower than market's expectation. While management contributes this to more temporary issue (HBM4 shipment delay), we believe that Hynix has been less aggressive on price hike than its peers since 2025.
- **Shareholder return measure to come.** Due to ADR listing, SK Hynix has to abide by the US regulation and was not able to implement any share buyback program this time. However, this is just a timing issue and we expect management to announce a large-scale shareholder return policy within the next few months.
- **Hynix remains confident on AI memory outlook.** We concur with Hynix that AI infrastructure spending is sustainable and cost-efficient AI model should only broaden AI user base. Supply constraints continue, like HBM wafer penalty and rising tech complexity, despite a few new fabs coming online. This is why we expect more customers to sign LTAs with Hynix to secure long-term memory.
- **Strong AI demand versus softening mobile demand.** Commodity DRAM sales continue to outgrow HBM, leading to smaller HBM sales contribution, meager 15% in 2Q26. Hynix sales mix should continue to shift to server DRAM and eSSD, while PC and mobile sales are temporarily soft due to the difficulty in memory procurement.

Earnings changes: We lower our 2026-28E EPS forecasts by 6%/15%/14%, respectively. This is largely driven by lowered NAND price assumption.

Valuation: TP cut by 15% to Won3.4mn, based on the same 6x 2027E EPS.

Catalysts: ADR pricing on 10 July; 2027 HBM supply contracts in 3Q26; follow-up shareholder return in 2H26.

Investment Thesis and Recommendation

The share price halved in just one month (versus KOSPI -35%), although we see few legitimate negatives for the underlying memory industry. As a result, the stock is now trading at 2.3x 2027E EPS and our end-2027 net cash is about half its current market cap.

Semicons & Semicon Equip Korea



Daniel Kim



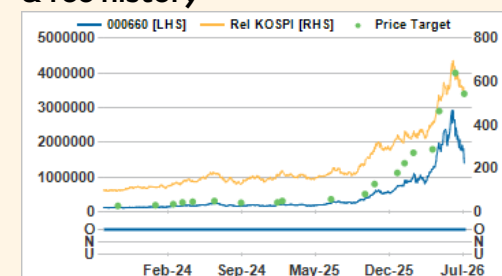
Jacob Kim

000660 KS	Outperform
Price (at 29 Jul 2026)	KRW1,401,000
12-month target	KRW3,400,000
12-month TSR (%)	142.8
Volatility Index	Very High
Market Cap (Local) (m)	1,026,343,843
Market Cap (USD) (m)	701,966
Free Float (%)	74
30-day avg turnover (USD) (m)	8,180.5

Investment Fundamentals

Year end 31 Dec	2025A	2026E	2027E	2028E
Revenue (bn)	97,147	366,566	659,749	905,768
Revenue growth (%)	46.8	277.3	80.0	37.3
EBIT (bn)	47,206	290,603	552,602	772,081
EBIT growth (%)	101.2	515.6	90.2	39.7
Reported profit (bn)	42,948	251,069	410,875	576,811
Adjusted profit (bn)	42,919	250,868	410,667	576,605
EPS rep [KRW]	58,994.2	347,935.9	562,463.1	789,620.2
EPS rep growth (%)	116.9	489.8	61.7	40.4
EPS adj [KRW]	58,954.9	348,007.5	562,178.5	789,337.4
EPS adj growth (%)	116.9	490.3	61.5	40.4
Net debt/equity (%)	(10.5)	(50.8)	(66.3)	(71.3)
ROA (%)	31.9	89.2	81.0	65.4
ROE (%)	44.2	100.5	70.4	53.6
PER rep (x)	23.7	4.0	2.5	1.8
PER adj (x)	23.8	4.0	2.5	1.8
EV/EBITDA (x)	17.5	3.4	1.8	1.3
P/BV (x)	8.5	2.7	1.3	0.8
Total div yield (%)	0.2	0.1	0.2	0.1
Quant (rank vs. global sector)	2 / 669			

000660 KS rel KOSPI performance, & rec history



Source: FactSet, Macquarie Research, Jul 2026 (all figures in KRW unless noted, TP in KRW)

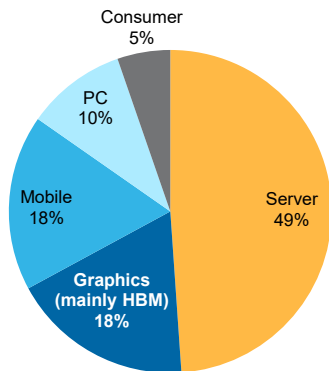
Key Risks to Investment Thesis

- Slowdown in AI infrastructure investment.
- Other gating products (power or the other upstream components) may delay AI data-centre projects.
- Wuxi DRAM fab having difficulty in tech upgrades beyond 1a nm, given no availability of EUV.
- CXMT in China making inroads in high-end DRAM market.
- Potential production hiccups and poor yield in HBM4.

Company Description

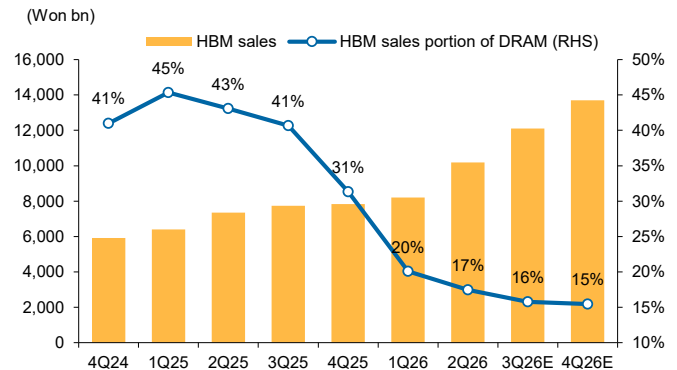
SK Hynix is considered a pure memory stock with a 70%/30% sales breakdown of DRAM/ NAND. Hynix, no. 2 DRAM player for decades, now commands similar market share as Samsung Electronic, thanks to its HBM leadership. The company has been active in NAND industry consolidation, including its Kioxia investment in 2017 and the acquisition of Intel NAND in 2020.

Figure 1 - DRAM sales breakdown (2Q26)



Source: Company data, Macquarie Research, July 2026

Figure 2 - Hynix HBM sales & HBM sales portion



Source: Company data, Macquarie Research, July 2026

SK Hynix (000660 KS) KRW/(bn) unless otherwise noted

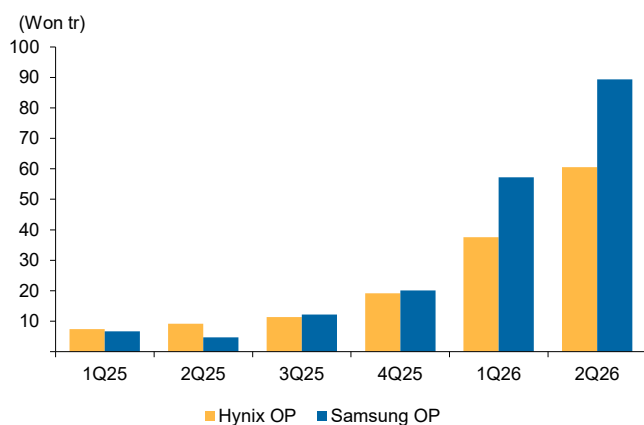
Income Statement	Dec FY	2025A	2026E	2027E	2028E	Q2/26A	Q3/26E	Balance Sheet	2025A	2026E	2027E	2028E
Revenue		97,147	366,566	659,749	905,768	79,319	106,048	Cash	34,942	206,104	533,336	980,110
Cost of Goods Sold		38,456	53,495	77,023	99,162	13,327	14,057	Receivables	18,468	85,749	121,509	175,714
Gross Profit		58,691	313,071	582,726	806,607	65,992	91,991	Inventories	14,289	16,185	22,705	26,166
EBITDA		61,136	308,874	580,089	811,323	64,573	90,708	Investments	17,172	35,466	36,906	38,405
Depreciation		13,930	18,270	27,487	39,242	4,030	4,851	Fixed Assets	77,503	111,878	152,391	228,749
Amortisation		0.0	0.0	0.0	0.0	0.0	0.0	Intangibles	4.1	4.3	4.6	5.1
EBIT		47,206	290,603	552,602	772,081	60,543	85,858	Other Assets	13,729	20,407	22,163	23,008
Net Interest Income		(429.4)	559.5	2,634	7,394	149.8	133.3	Total Assets	176,108	475,794	889,015	1,472,157
Associates		(564.6)	(26.8)	0.0	0.0	0.0	0.0	Payables	3,244	19,745	27,979	40,461
Exceptionals		0.0	0.0	0.0	0.0	0.0	0.0	Short Term Debt	8,162	5,008	3,737	2,872
Forex Gains / Losses		(448.4)	2,720	0.0	0.0	1,147	0.0	Long Term Debt	14,086	8,709	6,761	5,233
Other Pre-Tax Income		4,702	38,307	(0.0)	(0.0)	60,869	(35,000)	Other Liabilities	29,949	63,275	61,669	60,126
Pre-Tax Profit		50,466	332,163	555,236	779,475	122,708	50,991	Total Liabilities	55,441	96,737	100,146	108,691
Tax Expense		(7,518)	(81,094)	(144,361)	(202,663)	(28,785)	(13,258)	Shareholders' Funds	119,188	373,064	782,668	1,357,058
Net Profit		42,948	251,069	410,875	576,811	93,923	37,733	Minority Interests	150.6	274.4	482.3	688.9
Minority Interests		(28.6)	(201.4)	(208.0)	(206.6)	(103.3)	(36.9)	Other	1,328	5,719	5,719	5,719
Reported Earnings		42,948	251,069	410,875	576,811	93,923	37,733	Total S/H Equity	120,667	379,057	788,869	1,363,465
Adjusted Earnings		42,919	250,868	410,667	576,605	93,820	37,696	Total Liab & S/H Funds	176,108	475,794	889,015	1,472,157
Basic Shares Outstanding		0.7	0.7	0.7	0.7	0.7	0.7	Net Debt / Equity (%)	(10.5)	(50.8)	(66.3)	(71.3)
Diluted Shares Outstanding		0.7	0.7	0.7	0.7	0.7	0.7	Interest Cover (x)	109.9	NM	NM	NM
EPS (rep) [KRW]		58,994.2	347,935.9	562,463.1	789,620.2	131,785	51,655	ROE (%)	44.2	100.5	70.4	53.6
EPS (adj) [KRW]		58,954.9	348,007.5	562,178.5	789,337.4	131,640	51,604	ROA (%)	31.9	89.2	81.0	65.4
Total DPS [KRW]		3,034.4	1,509.7	3,125.0	1,500.0	375	375	ROIC (%)	48.7	203.4	219.1	214.8
Ratio		2025A	2026E	2027E	2028E			Cash Flow Analysis	2025A	2026E	2027E	2028E
Revenue Growth (%)		46.8	277.3	80.0	37.3	-	-	EBITDA	61,136	308,874	580,089	811,323
EBITDA Growth (%)		69.6	405.2	87.8	39.9	-	-	Tax Paid	(7,518)	(81,094)	(144,361)	(202,663)
EBIT Growth (%)		101.2	515.6	90.2	39.7	-	-	Chgs in Working Cap	3,528	5,469	40,626	33,736
EPS Growth (adj) (%)		116.9	490.3	61.5	40.4	-	-	Net Interest Paid	(429.4)	559.5	2,634	7,394
Gross Profit Margin (%)		60.4	85.4	88.3	89.1	-	-	Other	(3,344)	(34,805)	(76,157)	(80,545)
EBITDA Margin (%)		62.9	84.3	87.9	89.6	-	-	Operating Cashflow	53,373	199,003	402,831	569,245
EBIT Margin (%)		48.6	79.3	83.8	85.2	-	-	Acquisitions	0.0	0.0	0.0	0.0
Net Profit Margin (%)		44.2	68.4	62.2	63.7	-	-	Capex	(27,519)	(51,828)	(68,000)	(115,600)
Payout Ratio (%)		5.1	0.4	0.6	0.2	-	-	Other	(20,535)	22,595	(2,036)	(1,033)
PE (rep) (x)		23.7	4.0	2.5	1.8	-	-	Investing Cashflow	(48,054)	(29,234)	(70,036)	(116,633)
PE (adj) (x)		23.8	4.0	2.5	1.8	-	-	Dividend (Ordinary)	(1,681)	(1,843)	(1,063)	(2,215)
EV/EBITDA (x)		17.5	3.4	1.8	1.3	-	-	Equity Raised	(34.3)	3,405	0.0	0.0
EV/EBIT (x)		22.7	3.7	1.9	1.4	-	-	Debt Movements	767.6	(8,355)	(3,219)	(2,393)
Price/Book (x)		8.5	2.7	1.3	0.8	-	-	Other	(652.4)	(4,299)	0.0	0.0
Total Div Yield (%)		0.2	0.1	0.2	0.1	-	-	Financing Cashflow	(1,600)	(11,092)	(4,282)	(4,608)
								Net Chg in Cash/Debt	3,719	158,678	328,512	448,004
								Free Cashflow	25,854	147,175	334,831	453,645

Source: Company data, Macquarie Research Jul 2026

Operating margin expanded by 400bp to 76% in 2Q26

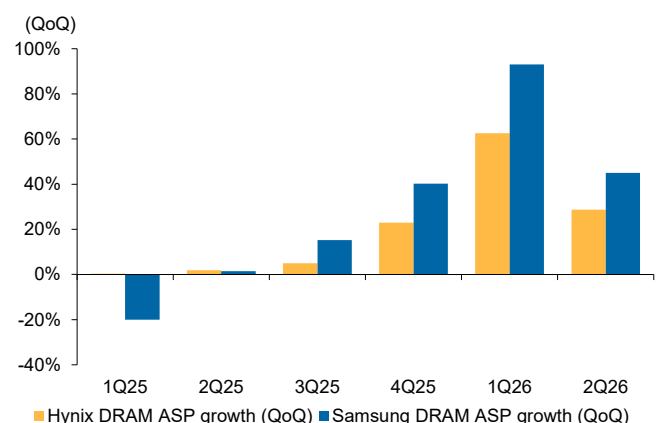
- **Management attributes slower-than-expected DRAM ASP rise to temporary issue.** Its OP of Won60.5tr, up 61% QoQ, is 8% below market's expectation. Blended product ASP growth decelerated from mid-60% in 1Q26 to 30% in 2Q26 for DRAM and from mid-70% to mid-50% for NAND. Management explains that some of high-end product (like HBM4) shipment was delayed to 2H26 and downplays this as a short-term, temporary issue. However, we note that Hynix DRAM ASP rise has been lower than Samsung's since 3Q25 (Please see Figure 4). Bit shipment growth was largely in line with its prior guidance, DRAM up 10% and NAND up at low-single digit %.
- **Bloated net profits to Won94tr.** Hynix recognised Won63tr gains, which are related to its investment, below the OP line. This includes both realised gains on the sale of Kioxia stakes in 2Q26 and valuation gains on the CBs, equivalent to a 14.2% stake in Kioxia.
- **Sales mix further shifted from PC/mobile to server.** AI/server, including HBM, accounted for 67% of its DRAM sales. This is not just because server DRAM price rose faster than mobile DRAM price, but mainly because Hynix shifted its outputs to server at the expense of mobile/PC. NAND posted a more dramatic change in sales mix. SSD sales contribution is now over 75%.
- **Higher capex guidance for 2026.** Management disclosed its 2026 capex guidance at "high Won40tr", up 70% YoY. Capex should be up 11x from 2020 to 2028E, while sales should be up 28x during the same period. Hynix management dismisses the chance of supply glut from aggressive capex, as its long-term investment plan is based on the improved demand visibility and also the company will be flexible in future capex. Regarding its fab portfolio, Icheon and YongIn cluster are for DRAM and HBM, while Cheongju site is for NAND and advanced package.
- **Net cash position ballooned from Won35tr in 1Q26 to Won69tr.** This is driven by free cash flow from operation and the proceeds from the sale of Kioxia stake. We expect Hynix to receive Won42tr as the proceeds from ADR issuance in 2Q26. Some of the deposits from customers under LTAs are not shown on Hynix' balance sheet.
- **Update on shareholder return to be released soon.** Due to the ADR listing, SK Hynix has to abide by the US regulation and was not able to implement any share buybacks. However, this is just a timing issue and we assume management will announce an update to its shareholder return policy within the next few months.

Figure 3 - Samsung OP outgrew Hynix OP



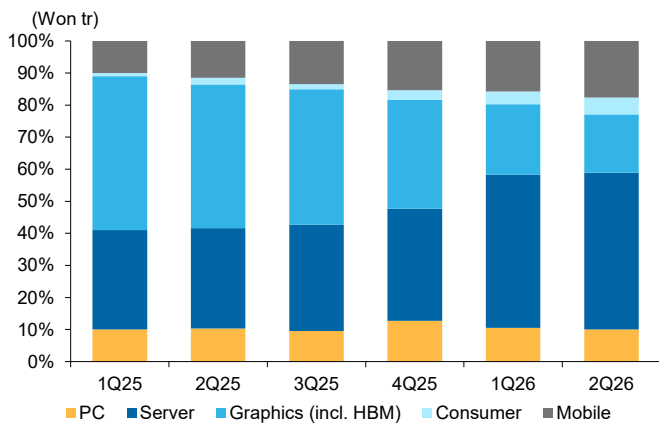
Source: Companies data, Macquarie Research, July 2026

Figure 4 - Samsung's DRAM ASP growth higher for 4 quarters

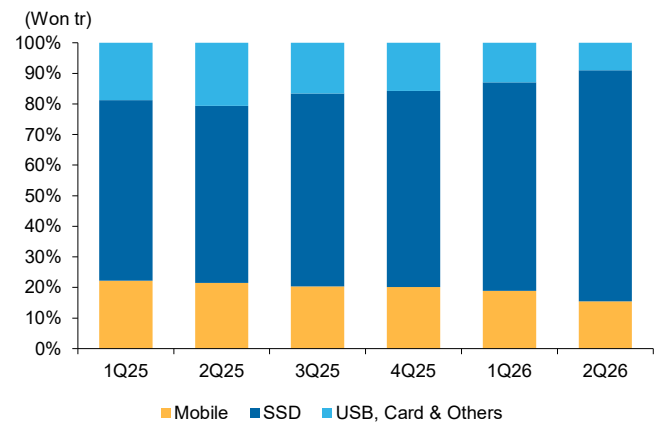


Source: Company data, Macquarie Research, July 2026

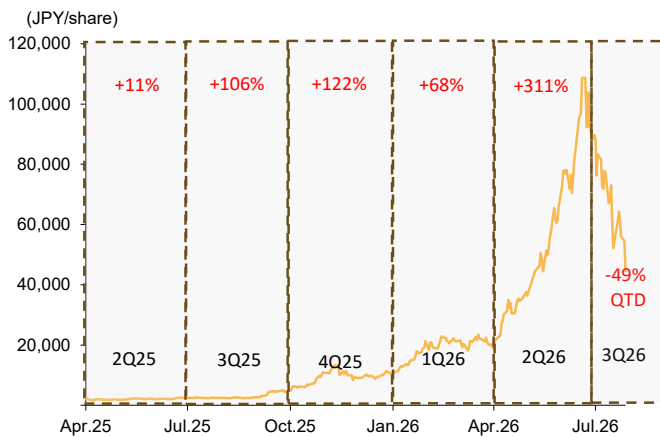
Samsung 2Q26 DRAM price is based on the company's preliminary result on 7th July

Figure 5 - Hynix DRAM sales mix shift to Server DRAM

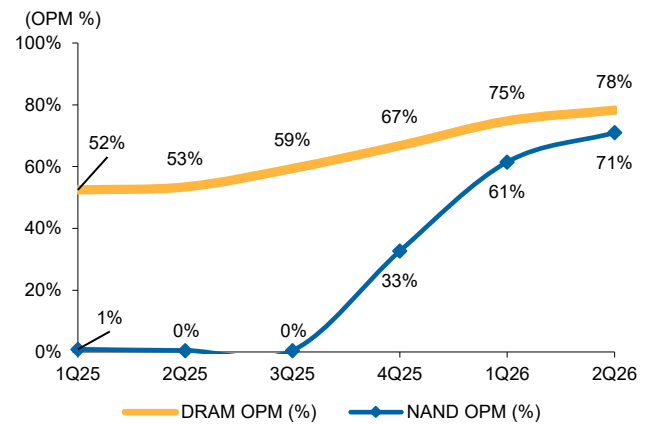
Source: Company data, Macquarie Research, July 2026

Figure 6 - Hynix NAND sales mix shift to eSSD

Source: Company data, Macquarie Research, July 2026

Figure 7 - Kioxia share price

Source: Bloomberg, July 2026

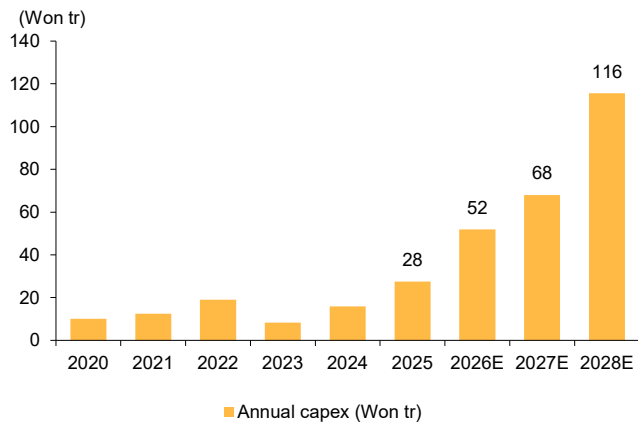
Figure 8 - Hynix: DRAM & NAND quarterly OPM

Source: Company data, Macquarie Research, July 2026

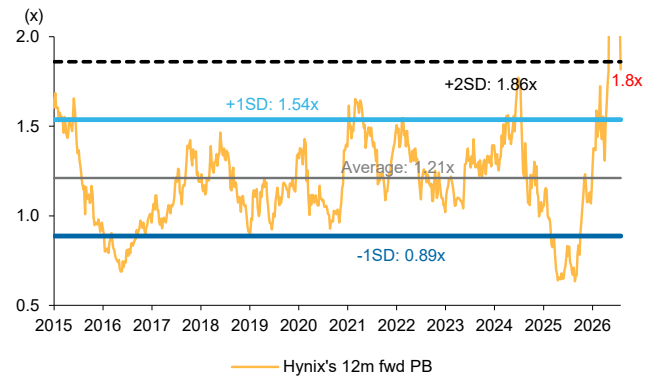
Figure 9 - SK Hynix 2Q26 earnings summary

(Won tr)	Actual 2Q26	MQe 2Q26	%Diff	Actual 1Q26	Actual 2Q25	%QoQ	%YoY
Sales	79.32	85.73	-7%	52.58	22.23	51%	257%
DRAM	58.29	60.74	-4%	40.88	17.07	43%	241%
NAND	21.02	24.69	-15%	11.42	4.73	84%	344%
OP	60.54	69.49	-13%	37.61	9.21	61%	557%
RP	122.71	84.47	45%	51.62	8.72	138%	1307%
NP	93.82	62.50	50%	40.33	7.00	133%	1241%
EBITDA	64.56	74.80	-14%	41.34	12.67	56%	410%
Capex	10.67	9.90	8%	7.66	4.33	39%	146%
D&A	4.02	5.31	-24%	3.73	3.45	8%	16%
Net DE ratio	-26%	-33%	6.8%p	-21%	6%	-4.7%p	-31.6%p
Margin							
OPM	76.3%	81.1%	-4.7%p	71.5%	41.4%	4.8%p	34.9%p
RPM	154.7%	98.5%	56.2%p	98.2%	39.2%	56.5%p	115.5%p
NPM	118.3%	72.9%	45.4%p	76.7%	31.5%	41.6%p	86.8%p
EBITDA M	81.4%	87.2%	-5.9%p	78.6%	57.0%	2.8%p	24.4%p
Sales mix (%)							
DRAM	73%	71%	2.6%p	78%	77%	-4.3%p	-3.3%p
NAND	27%	29%	-2.3%p	22%	21%	4.8%p	5.2%p
Earnings driver							
DRAM							
Bit growth (QoQ)	8%	9%	-0.4%p	0%	23%	8.5%p	-14.7%p
ASP growth (QoQ)	29%	32%	-3.3%p	63%	2%	-33.8%p	26.8%p
NAND							
Bit growth (QoQ)	16%	16%	-0.9%p	-12%	70%	27.9%p	-54.4%p
ASP growth (QoQ)	55%	79%	-23.6%p	72%	-9%	-16.4%p	64.7%p

Source: Company data, Macquarie Research, July 2026

Figure 10 - Hynix capex reach over Won100 tr in 2028E

Source: Company data, Macquarie Research, July 2026

Figure 11 - Hynix 10-yr P/B chart

Source: Company data, Macquarie Research, July 2026

Figure 12 - We cut our EPS forecast by 6%/15%/14% in 2026E/27E/28E respectively

(Won tr)	2026E			2027E			2028E			3Q26E		
	Old	New	%Chg	Old	New	%Chg	Old	New	%Chg	Old	New	%Chg
Sales	398.1	366.6	-8%	745.5	659.7	-11%	1,018.7	905.8	-11%	115.0	106.0	-8%
OP	330.3	290.6	-12%	650.3	552.6	-15%	899.6	772.1	-14%	97.5	85.9	-12%
RP	359.5	332.2	-8%	652.4	555.2	-15%	905.7	779.5	-14%	97.6	51.0	-48%
NP	268.2	250.9	-6%	482.7	410.7	-15%	670.1	576.6	-14%	72.2	37.7	-48%
EBITDA	351.1	308.9	-12%	679.5	580.1	-15%	940.8	811.3	-14%	103.1	90.7	-12%
EPS (Won)	370,606	348,007	-6%	660,833	562,178	-15%	917,377	789,337	-14%	98,874	51,604	-48%
% of sales												
OPM	83%	79%	-3.7p	87%	84%	-3.5p	88%	85%	-3.1p	85%	81%	-3.8p
RPM	90%	91%	0.3p	88%	84%	-3.4p	89%	86%	-2.8p	85%	48%	-36.8p
NPM	67%	68%	1.1p	65%	62%	-2.5p	66%	64%	-2.1p	63%	36%	-27.2p
EBITDA M	88%	84%	-3.9p	91%	88%	-3.2p	92%	90%	-2.8p	90%	86%	-4.1p
Sales breakdown												
DRAM sales	267.8	264.7	-1%	466.1	475.3	2%	646.7	656.8	2%	74.1	76.8	4%
HBM sales	43.8	42.7	-2%	131.6	133.6	2%	246.6	263.5	7%	11.4	12.1	6%
NAND sales	129.0	101.6	-21%	278.1	184.4	-34%	370.8	249.0	-33%	40.6	29.2	-28%
OP breakdown												
DRAM OP	224.3	215.5	-4%	411.5	412.6	0%	577.5	577.4	0%	63.1	63.9	1%
NAND OP	105.9	75.1	-29%	238.7	140.0	-41%	322.0	194.7	-40%	34.5	21.9	-36%
OPM by division												
DRAM OPM	84%	81%	-2.3p	88%	87%	-1.5p	89%	88%	-1.4p	85%	83%	-1.9p
NAND OPM	82%	74%	-8.1p	86%	76%	-9.9p	87%	78%	-8.6p	85%	75%	-9.7p
Earnings driver												
DRAM Bit growth	22%	23%	1.4p	24%	21%	-3.3p	21%	25%	4.4p	3%	10%	7.0p
DRAM ASP growth	177%	172%	-5.6p	48%	56%	8.3p	21%	17%	-4.6p	20%	20%	0.0p
HBM Bit growth	38%	35%	-3.0p	58%	58%	0.6p	46%	52%	5.8p	10%	38%	27.1p
HBM ASP growth	2%	3%	0.0p	101%	108%	6.2p	35%	37%	2.1p	1%	1%	0.0p
NAND Bit growth	23%	21%	-2.3p	31%	24%	-7.1p	22%	24%	1.6p	15%	3%	-12.0p
NAND ASP growth	388%	293%	-95.3p	73%	54%	-19.4p	15%	15%	0.0p	45%	35%	-10.0p
Others												
Capex	42.9	51.8	21%	63.0	68.0	8%	107.1	115.6	8%	13.4	19.5	46%
Depreciation & amortization	20.8	18.3	-12%	29.2	27.5	-6%	41.2	39.2	-5%	5.6	4.9	-14%
Effective tax rate	25%	24%	-1.0p	26%	26%	0.0p	26%	26%	0.0p	26%	26%	0.0p
Won/US\$ rate	1,496	1,492	0%	1,425	1,425	0%	1,350	1,350	0%	1,500	1,500	0%

Source: Macquarie Research, July 2026

Figure 13 - SK Hynix quarterly earnings snapshot

(Won tr)	1Q23	2Q23	3Q23	4Q23	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25
Sales	5.09	7.31	9.07	11.31	12.43	16.42	17.57	19.77	17.64	22.23	24.45	32.83
OP	-3.40	-2.88	-1.79	0.35	2.89	5.47	7.03	8.08	7.44	9.21	11.38	19.17
RP	-3.53	-3.79	-2.47	-1.87	2.37	5.05	6.88	9.58	9.30	8.72	14.79	17.65
NP	-2.58	-2.99	-2.18	-1.36	1.92	4.12	5.75	8.00	8.11	7.00	12.60	15.22
EPS	-3,544	-4,109	-3,000	-1,864	2,636	5,660	7,897	10,990	11,136	9,612	17,301	20,906
Margin												
OPM	-67%	-39%	-20%	3%	23%	33%	40%	41%	42%	41%	47%	58%
RPM	-69%	-52%	-27%	-17%	19%	31%	39%	48%	53%	39%	60%	54%
NPM	-51%	-41%	-24%	-12%	15%	25%	33%	40%	46%	31%	52%	46%
EBITDA M	3%	9%	17%	32%	49%	52%	58%	57%	61%	57%	61%	69%
Balance sheet												
Inventory	17.18	16.42	14.95	13.48	13.84	13.35	13.35	13.31	14.55	13.41	13.16	14.29
Total debt	28.76	30.81	31.56	29.47	29.51	25.23	21.84	22.68	23.33	21.84	24.08	22.25
Cash & equiv	6.14	7.49	8.53	8.92	10.32	9.69	10.86	14.16	14.31	16.96	27.85	34.94
Net debt	22.62	23.32	23.03	20.55	19.19	15.54	10.99	8.53	9.02	4.88	-3.78	-12.69
Equity	61.01	57.46	55.23	53.50	55.51	59.83	65.30	73.92	81.44	87.14	100.01	120.67
Net DE ratio	37%	41%	42%	38%	35%	26%	17%	12%	11%	6%	-4%	-11%
ROE	-17%	-20%	-16%	-10%	14%	29%	37%	46%	42%	33%	54%	55%
BVPS	83,803	78,927	75,867	73,494	76,246	82,184	89,700	101,532	111,866	119,701	137,371	165,751
Cash flow statement												
D&A	3.56	3.51	3.35	3.25	3.19	3.13	3.08	3.17	3.35	3.45	3.56	3.57
Capex	3.15	1.93	1.51	1.73	3.10	2.06	3.51	7.27	6.28	4.33	5.03	11.87
Free cash flow	-2.18	-1.41	-0.35	0.15	2.01	5.19	5.33	3.91	5.17	6.12	11.12	6.95
Earnings driver												
HBM sales portion (DRAM)	8%	11%	16%	16%	16%	24%	28%	40%	45%	43%	41%	31%
HBM bit portion (DRAM)	1%	2%	3%	3%	4%	7%	8%	12%	14%	13%	13%	12%
DRAM total bit (1GB bn)	1.40	1.91	2.31	2.38	2.03	2.46	2.40	2.56	2.36	2.90	3.12	3.18
%QoQ	-20%	37%	21%	3%	-15%	21%	-2%	7%	-8%	23%	8%	2%
DRAM ASP (US\$/1GB)	1.64	1.79	1.99	2.35	2.82	3.27	3.71	4.10	4.11	4.19	4.40	5.41
%QoQ	-17%	9%	11%	18%	20%	16%	14%	11%	2%	2%	5%	23%
HBM total bit (1GB bn)	0.02	0.03	0.07	0.08	0.08	0.16	0.19	0.32	0.32	0.37	0.40	0.38
%QoQ	-36%	94%	106%	21%	0%	97%	20%	66%	0%	17%	7%	-4%
HBM ASP (US\$/1GB)	11.20	11.20	11.20	11.20	11.20	12.00	12.80	13.29	13.82	14.00	13.99	14.13
%QoQ	0%	0%	0%	0%	0%	7%	7%	4%	4%	1%	0%	1%
NAND total bit (1GB bn)	27.69	40.71	43.31	41.89	42.30	41.58	35.39	33.58	27.54	46.79	44.40	48.80
%QoQ	-15%	47%	6%	-3%	1%	-2%	-15%	-5%	-18%	70%	-5%	10%
NAND ASP (US\$/1GB)	0.05	0.04	0.04	0.06	0.08	0.09	0.10	0.10	0.08	0.07	0.08	0.11
%QoQ	-10%	-10%	-1%	40%	30%	17%	16%	-5%	-21%	-9%	12%	32%
Sales breakdown												
DRAM	2.92	4.51	6.04	7.39	7.58	11.01	12.08	14.68	14.11	17.07	19.03	25.00
HBM	0.24	0.48	0.99	1.20	1.21	2.63	3.34	5.92	6.40	7.35	7.74	7.83
NAND	1.69	2.29	2.41	3.29	4.35	5.16	5.04	4.69	3.18	4.73	4.94	7.51
Sales mix												
DRAM	57%	62%	67%	65%	61%	66%	69%	74%	80%	77%	78%	76%
HBM	5%	7%	11%	11%	10%	16%	19%	30%	36%	33%	32%	24%
NAND	33%	31%	27%	29%	35%	31%	29%	24%	18%	21%	20%	23%
OP breakdown												
DRAM	-1.56	-0.14	0.56	1.64	2.65	4.87	6.19	7.37	7.40	9.12	11.30	16.70
NAND	-1.89	-2.64	-2.19	-1.23	0.28	0.85	0.84	0.70	0.03	0.02	0.02	2.46
OPM by division												
DRAM	-53%	-3%	9%	22%	35%	44%	51%	50%	52%	53%	59%	67%
NAND	-112%	-116%	-91%	-37%	6%	17%	17%	15%	1%	0%	0%	33%

Source: Company data, Macquarie Research, July 2026

Figure 14 - SK Hynix quarterly earnings snapshot

(Won tr)	1Q26	2Q26A	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E	1Q28E	2Q28E	3Q28E	4Q28E
Sales	52.58	79.32	106.05	128.62	141.42	161.34	174.72	182.26	182.02	215.12	245.06	263.57
OP	37.61	60.54	85.86	106.59	118.48	135.62	146.37	152.13	151.05	183.15	210.24	227.63
RP	51.62	122.71	50.99	106.85	118.87	136.17	147.11	153.09	152.29	184.74	212.26	230.18
NP	40.33	93.82	37.70	79.02	87.91	100.71	108.81	113.23	112.64	136.66	157.02	170.28
EPS	56,588	131,640	51,604	108,175	120,349	137,865	148,955	155,009	154,197	187,076	214,955	233,110
Margin												
OPM	72%	76%	81%	83%	84%	84%	84%	83%	83%	85%	86%	86%
RPM	98%	155%	48%	83%	84%	84%	84%	84%	84%	86%	87%	87%
NPM	77%	118%	36%	61%	62%	62%	62%	62%	62%	64%	64%	65%
EBITDA M	79%	81%	86%	87%	88%	88%	88%	88%	88%	89%	90%	91%
Balance sheet												
Inventory	15.97	17.99	15.12	16.19	16.78	18.98	21.25	22.70	23.34	23.51	25.60	26.17
Total debt	19.32	18.59	15.91	13.72	11.92	11.41	10.94	10.50	9.19	8.81	8.45	8.10
Cash & equiv	54.33	87.96	152.36	206.10	276.21	348.59	438.76	533.34	629.77	724.14	842.38	980.11
Net debt	-35.01	-69.37	-136.45	-192.39	-264.29	-337.18	-427.82	-522.84	-620.58	-715.33	-833.93	-972.01
Equity	164.38	262.69	300.25	379.06	466.76	567.26	675.85	788.87	901.29	1,036.59	1,193.39	1,363.47
Net DE ratio	-21%	-26%	-45%	-51%	-57%	-59%	-63%	-66%	-69%	-69%	-70%	-71%
ROE	113%	176%	54%	93%	83%	78%	70%	62%	53%	56%	56%	53%
BVPS	230,643	368,318	410,710	518,531	638,516	776,017	924,609	1,079,254	1,233,088	1,418,223	1,632,814	1,865,560
Cash flow statement												
D&A	3.73	4.03	4.85	5.66	6.12	6.48	7.14	7.75	8.37	9.09	10.33	11.45
Capex	7.66	10.67	19.50	14.00	12.50	18.50	18.00	19.00	21.25	31.45	30.60	32.30
Free cash flow	36.42	87.28	23.08	70.73	81.59	88.74	98.00	102.03	99.81	114.35	136.80	149.49
Earnings driver												
HBM sales portion (DRAM)	20%	15%	16%	15%	26%	28%	29%	30%	36%	38%	41%	44%
HBM bit portion (DRAM)	13%	12%	15%	16%	16%	18%	19%	20%	21%	22%	23%	23%
DRAM total bit (1GB bn)	3.17	3.43	3.77	3.88	3.92	4.16	4.49	4.63	4.72	5.28	5.60	5.88
%QoQ	0%	8%	10%	3%	1%	6%	8%	3%	2%	12%	6%	5%
DRAM ASP (US\$/1GB)	8.80	11.32	13.59	15.22	18.26	19.17	19.75	20.34	21.15	22.21	23.10	23.79
%QoQ	63%	29%	20%	12%	20%	5%	3%	3%	4%	5%	4%	3%
HBM total bit (1GB bn)	0.40	0.41	0.57	0.62	0.63	0.75	0.85	0.93	0.99	1.16	1.29	1.35
%QoQ	4%	4%	38%	10%	1%	19%	14%	8%	7%	17%	11%	5%
HBM ASP (US\$/1GB)	14.13	14.13	14.27	14.70	29.54	29.54	29.84	30.14	35.86	38.37	41.44	45.59
%QoQ	0%	0%	1%	3%	101%	0%	1%	1%	19%	7%	8%	10%
NAND total bit (1GB bn)	42.75	49.39	50.87	59.52	53.57	62.14	67.11	68.45	67.77	75.90	81.97	85.25
%QoQ	-12%	16%	3%	17%	-10%	16%	8%	2%	-1%	12%	8%	4%
NAND ASP (US\$/1GB)	0.18	0.28	0.38	0.45	0.48	0.51	0.54	0.53	0.52	0.55	0.64	0.65
%QoQ	72%	55%	35%	17%	8%	5%	6%	-2%	-2%	7%	15%	2%
Sales breakdown												
DRAM	40.88	58.29	76.85	88.65	103.86	115.60	124.16	131.72	134.74	158.45	174.68	188.92
HBM	8.21	8.73	12.11	13.70	26.89	32.06	35.65	39.03	47.97	60.23	72.08	83.25
NAND	11.42	21.02	29.20	39.97	37.55	45.74	50.56	50.54	47.28	56.66	70.37	74.65
Sales mix												
DRAM	78%	73%	72%	69%	73%	72%	71%	72%	74%	74%	71%	72%
HBM	16%	11%	11%	11%	19%	20%	20%	21%	26%	28%	29%	32%
NAND	22%	27%	28%	31%	27%	28%	29%	28%	26%	26%	29%	28%
OP breakdown												
DRAM	30.58	45.62	63.92	75.34	90.68	101.10	107.49	113.38	116.03	139.00	154.25	168.08
NAND	7.02	14.92	21.94	31.26	27.80	34.52	38.89	38.75	35.02	44.16	55.99	59.55
OPM by division												
DRAM	75%	78%	83%	85%	87%	87%	87%	86%	86%	88%	88%	89%
NAND	61%	71%	75%	78%	74%	75%	77%	77%	74%	78%	80%	80%

Source: Company data, Macquarie Research, July 2026

Figure 15 - SK Hynix annual earnings snapshot

(Won tr)	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales	30.1	40.4	27.0	31.9	43.0	44.6	32.8	66.2	97.1	366.6	659.7	905.8
OP	13.7	20.8	2.7	5.0	12.4	6.8	-7.7	23.5	47.2	290.6	552.6	772.1
RP	13.4	21.3	2.4	6.2	13.4	4.0	-11.7	23.9	50.5	332.2	555.2	779.5
NP	10.6	15.5	2.0	4.8	9.6	2.2	-9.1	19.8	42.9	250.9	410.7	576.6
EPS	14,617	21,346	2,755	6,532	13,190	3,063	-12,517	27,182	58,955	348,007	562,178	789,337
%YoY growth												
Sales	75%	34%	-33%	18%	35%	4%	-27%	102%	47%	277%	80%	37%
OP	319%	52%	-87%	84%	148%	-45%	-214%	-404%	101%	516%	90%	40%
RP	318%	59%	-89%	156%	115%	-70%	-391%	-305%	111%	558%	67%	40%
NP	260%	46%	-87%	137%	102%	-77%	-509%	-317%	117%	485%	64%	40%
EBITDA	142%	45%	-58%	30%	56%	-9%	-72%	507%	70%	405%	88%	40%
Margin												
OPM	46%	52%	10%	16%	29%	15%	-24%	35%	49%	79%	84%	85%
RPM	45%	53%	9%	20%	31%	9%	-36%	36%	52%	91%	84%	86%
NPM	35%	38%	7%	15%	22%	5%	-28%	30%	44%	68%	62%	64%
EBITDA M	62%	67%	42%	46%	54%	47%	18%	54%	63%	84%	88%	90%
Balance sheet												
Inventory	2.6	4.4	5.3	6.1	9.0	15.7	13.5	13.3	14.3	16.2	22.7	26.2
Total debt	4.2	5.3	10.5	11.3	17.6	23.0	29.5	22.7	22.2	13.7	10.5	8.1
Cash & equiv	7.6	8.4	4.0	4.9	8.7	6.4	8.9	14.2	34.9	206.1	533.3	980.1
Net debt	-3.5	-3.1	6.5	6.3	9.0	16.6	0.0	8.5	-12.7	-192.4	-522.8	-972.0
Equity	33.8	46.9	47.9	51.9	62.2	63.3	53.5	73.9	120.7	379.1	788.9	1,363.5
Net DE ratio	-10%	-7%	14%	12%	14%	26%	38%	12%	-11%	-51%	-66%	-71%
ROE	37%	39%	4%	10%	17%	4%	-16%	31%	44%	100%	70%	54%
BVPS	46,457	64,357	65,846	71,275	85,380	86,904	73,495	101,515	165,544	518,531	1,079,254	1,865,560
Cash flow statement												
D&A	5.0	6.4	8.6	9.8	10.7	14.2	13.7	12.6	13.9	18.3	27.5	39.2
Capex	9.1	16.0	13.9	10.1	12.5	19.0	8.3	15.9	27.5	51.8	68.0	115.6
Free cash flow	6.5	5.9	-3.3	4.5	7.8	-2.6	-3.8	16.4	29.4	217.5	370.4	500.5
Earnings driver												
HBM sales portion (DRAM)						4%	14%	29%	39%	16%	28%	40%
HBM bit portion (DRAM)						1%	2%	8%	13%	14%	18%	22%
DRAM total bit (1GB bn)	3.20	3.85	4.73	5.82	6.99	7.03	8.01	9.44	11.56	14.26	17.20	21.49
%YoY	25%	20%	23%	23%	20%	1%	14%	18%	22%	23%	21%	25%
DRAM ASP (US\$/1GB)	6.34	7.64	3.81	3.40	3.87	3.17	1.99	3.51	4.57	12.42	19.43	22.64
%YoY	52%	20%	-50%	-11%	14%	-18%	-37%	77%	30%	172%	56%	17%
HBM total bit (1GB bn)						0.09	0.20	0.75	1.47	1.99	3.15	4.79
%YoY							128%	281%	96%	35%	58%	52%
HBM ASP (US\$/1GB)						11.20	11.20	12.67	13.99	14.35	29.80	40.72
%YoY							0%	13%	10%	3%	108%	37%
NAND total bit (1GB bn)	19.64	26.72	40.81	58.13	89.61	129.62	153.60	152.86	167.53	202.53	251.27	310.89
%YoY	16%	36%	53%	42%	54%	45%	19%	0%	10%	21%	24%	24%
NAND ASP (US\$/1GB)	0.30	0.25	0.11	0.11	0.10	0.09	0.05	0.09	0.09	0.34	0.52	0.59
%YoY	33%	-17%	-56%	2%	-10%	-16%	-44%	92%	-7%	293%	54%	15%
Sales breakdown												
DRAM	22.88	32.38	21.01	23.31	30.99	28.44	20.86	45.35	75.21	264.67	475.35	656.79
HBM						1.27	2.90	13.09	29.32	42.75	133.63	263.53
NAND	6.69	7.39	5.32	7.82	10.50	14.18	9.68	19.24	20.37	101.61	184.39	248.96
Sales mix												
DRAM	76%	80%	78%	73%	72%	64%	64%	68%	77%	72%	72%	73%
HBM						3%	9%	20%	30%	12%	20%	29%
NAND	22%	18%	20%	25%	24%	32%	30%	29%	21%	28%	28%	27%
OP breakdown												
DRAM	12.53	19.71	5.91	6.54	12.07	7.83	0.50	21.08	44.52	215.46	412.65	577.36
NAND	1.01	0.98	-3.30	-1.68	0.11	-1.15	-7.95	2.67	2.53	75.14	139.95	194.72
OPM by division												
DRAM	55%	61%	28%	28%	39%	28%	2%	46%	59%	81%	87%	88%
NAND	15%	13%	-62%	-22%	1%	-8%	-82%	14%	12%	74%	76%	78%

Source: Company data, Macquarie Research, July 2026

Key Quant Findings

(top 5% of the Macquarie Quant Alpha model)

The quant model currently holds a strong positive view on SK Hynix. The strongest style exposure is Profitability, indicating this stock is efficiently converting investments to earnings; proxied by ratios like ROE or ROA. The weakest style exposure is Valuations, indicating this stock is over-priced in the market relative to its peers.

Macquarie Alpha Model: Key rankings

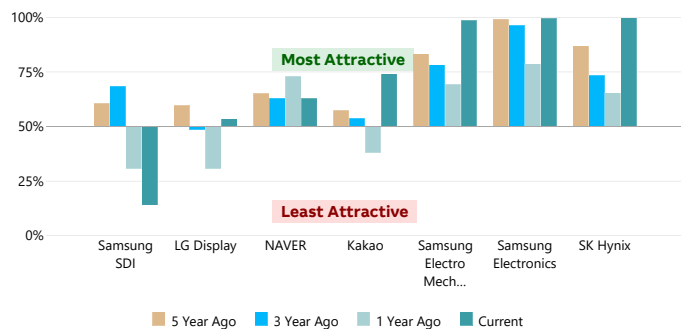
The Macquarie Quant's flagship Alpha model is a dynamic multi-factor model based on a staple of quant factors such as value, momentum, revisions, quality, and risk.

	Global	Market (Country)	Sector
	Whole Universe	Korea	Semiconductors & Semiconductor Equip.
Macquarie Alpha Model	2/17994	1/782	2/669
Fundamental (Consensus) *	2401/17994	190/782	100/669

* based on Total Shareholder Return = Consensus Price target / Current Price

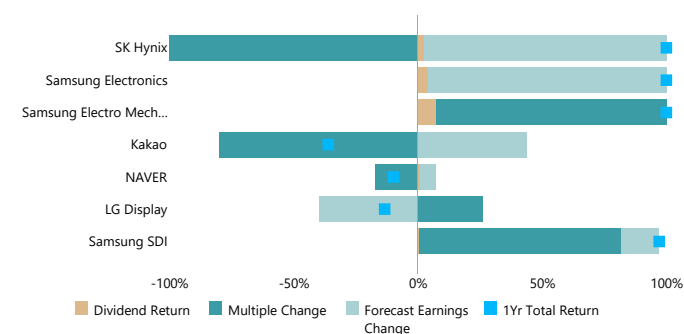
Current and Historical Alpha Model Rank

The chart shows the Macquarie Alpha model market ranking against the company's peers and over recent history.



Drivers of Stock Return

Breakdown of 1-year total return (local currency) into returns from dividends, changes in forward earnings estimates and the resulting change in earnings multiple.



Source (all charts): FactSet, Refinitiv, and Macquarie Quant. For more details on the Macquarie Alpha model or for more customised analysis and screens, please contact the Macquarie Global Quantitative Team: maccapequitiesresearchquantglobal@macquarie.com. Explanation for items on this page can be found at <https://www.macquarieinsights.com/rp/d/r/p/OTUyMzg1>.

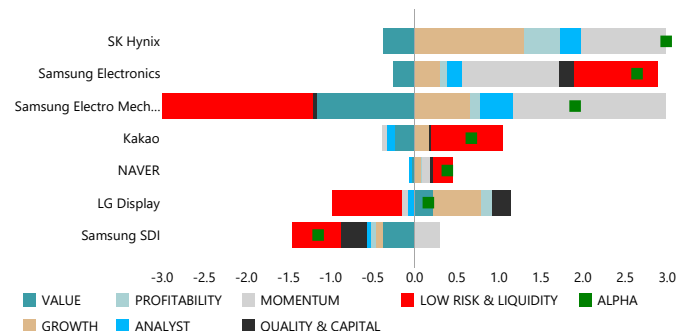
Alpha Model Decomposition

The Macquarie Alpha is decomposed into its sector and market relative factor & styles exposures (a higher/better percentile is coded in green, whilst lower in red).

Factors / Styles	Percentile relative to		Core factors in definition
	sectors (/669)	market (/782)	
ALPHA	100%	100%	Built from the styles below
VALUE	65%	35%	Book, CF, Yield, Earnings Multiples
ANALYST	90%	99%	Revisions (Earnings, Recommendations)
MOMENTUM	90%	99%	Price Momentum
GROWTH	96%	100%	EPS, Sales (Forecast, Historic)
PROFITABILITY	98%	99%	ROE, Margin, Asset Turnover
QUALITY	69%	77%	Accruals, Earn Stability, Cash Conversion
CAPITAL	82%	81%	Investment/Capex, Net share issuance
LIQUIDITY	100%	100%	Size, Turnover, Analyst Coverage
LOW RISK	64%	27%	Beta, Volatility, Earn.Cert, Leverage
TECHNICAL	60%	98%	MACD, RSI, Bollinger, Williams R, etc

Factors driving the Alpha Model vs peers

For the comparable firms this chart shows the key underlying styles and their contribution to the current overall raw Alpha score.



Macquarie Style Returns over last year

Recent performance to Macquarie style factors

Asia Ex JP	Monthly Factor Long-Short Returns for												Last 5 Years (ann)	Last 10 Years (ann)
	Jun - 26	May - 26	Apr - 26	Mar - 26	Feb - 26	Jan - 26	Dec - 25	Nov - 25	Oct - 25	Sep - 25	Aug - 25	Jul - 25		
ALPHA	1%	3%	3%	4%	0%	0%	3%	3%	2%	-3%	-6%	-7%	8%	5%
VALUE	-5%	1%	-7%	6%	0%	-2%	3%	5%	4%	-4%	-4%	-3%	10%	4%
ANALYST	7%	4%	12%	-2%	0%	6%	5%	-2%	3%	4%	1%	-3%	17%	14%
MOMENTUM	15%	17%	19%	-4%	5%	8%	6%	-1%	-2%	0%	-6%	-6%	7%	6%
GROWTH	9%	7%	7%	-4%	-1%	4%	2%	-2%	0%	5%	8%	0%	7%	3%
PROFITABILITY	6%	1%	-4%	3%	0%	-4%	1%	3%	0%	-4%	-2%	-6%	-3%	-2%
QUALITY	-3%	-2%	-4%	2%	-1%	-4%	-1%	1%	-4%	-6%	1%	-3%	-7%	-3%
CAPITAL	-7%	-1%	-12%	2%	-2%	2%	-1%	3%	-3%	-1%	-2%	-1%	-1%	-5%
LIQUIDITY	8%	10%	7%	-1%	3%	1%	2%	-1%	-1%	3%	3%	-2%	0%	4%
LOW RISK	-6%	-8%	-13%	6%	-2%	-8%	-2%	5%	1%	-6%	-11%	-9%	-10%	-9%

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Recommendation definitions	Volatility index definition	Financial definitions
Macquarie – Asia and USA Outperform – expected return >10% Neutral – expected return from -10% to +10% Underperform – expected return <-10% Macquarie – Australia/New Zealand Outperform – expected return >10% Neutral – expected return from 0% to 10% Underperform – expected return <0% During periods of share price volatility, recommendations and target prices may occasionally and temporarily be inconsistent with the above definitions. Recommendations – 12 months 12-month target – Expected share price in 12 months Valuation – The company's estimated fair value share price based on the disclosed valuation methodology Note: Quant recommendations may differ from Fundamental Analyst recommendations	This is calculated from the volatility of historical price movements. Very high – highest risk – Stock should be expected to move up or down 60-100% in a year – investors should be aware this stock is highly speculative. High – stock should be expected to move up or down at least 40-60% in a year – investors should be aware this stock could be speculative. Medium – stock should be expected to move up or down at least 25-40% in a year. Low – stock should be expected to move up or down at least 15-25% in a year. * Applicable to select stocks in Asia/Australia/NZ Note: expected return is reflective of a Medium Volatility stock and should be assumed to adjust proportionately with volatility risk	All "Adjusted" data items have had the following adjustments made: Added back: goodwill amortisation, provision for catastrophe reserves, IFRS derivatives & hedging, IFRS impairments & IFRS interest expense Excluded: non recurring items, asset revals, property revals, appraisal value uplift, preference dividends & minority interests EPS = adjusted net profit / efpowa* ROA = adjusted ebit / average total assets ROA Banks/Insurance = adjusted net profit / average total assets ROE = adjusted net profit / average shareholders funds Gross cashflow = adjusted net profit + depreciation *equivalent fully paid ordinary weighted average number of shares All Reported numbers for Australian/NZ listed stocks are modelled under IFRS (International Financial Reporting Standards).

Recommendation proportions for quarter ending 30 Jun 2026

	AU/NZ	Asia	USA	
Outperform	65.38%	70.02%	64.29%	(for global coverage by Macquarie, 1.91% of stocks followed are investment banking clients)
Neutral	27.62%	16.78%	35.71%	(for global coverage by Macquarie, 0.40% of stocks followed are investment banking clients)
Underperform	6.99%	13.19%	0.00%	(for global coverage by Macquarie, 0.00% of stocks followed are investment banking clients)

Company-Specific Disclosures

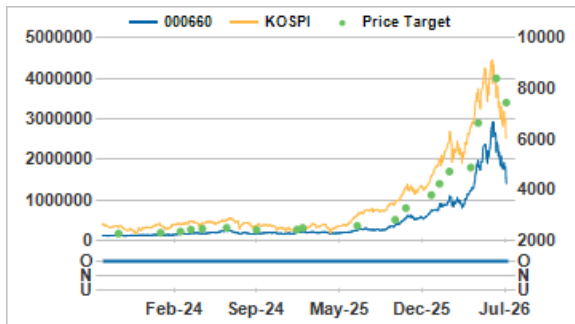
Company Name	Disclosure
SK Hynix (000660 KS) Outperform 12-month target: KRW3,400,000 - PER Valuation: KRW 3,400,000 - PER Price: KRW1,401,000	Macquarie has provided non-investment banking non-securities services to SK Hynix Inc in the past 12 months, for which it received compensation.

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Recommendation history

Company name	Date	Recommendation	Target price
SK Hynix (000660 KS)	29-Jul-2026	Outperform	KRW 3400000.00
	2-Jul-2026	Outperform	KRW 4000000.00
	14-May-2026	Outperform	KRW 2900000.00
	24-Apr-2026	Outperform	KRW 1800000.00
	25-Feb-2026	Outperform	KRW 1700000.00
	29-Jan-2026	Outperform	KRW 1400000.00
	7-Jan-2026	Outperform	KRW 1120000.00
	30-Oct-2025	Outperform	KRW 800000.00
	1-Oct-2025	Outperform	KRW 510000.00



20-Jun-2025	Outperform	KRW 360000.00
23-Jan-2025	Outperform	KRW 310000.00
8-Jan-2025	Outperform	KRW 270000.00
20-Sep-2024	Outperform	KRW 260000.00
1-Jul-2024	Outperform	KRW 310000.00
26-Apr-2024	Outperform	KRW 290000.00
26-Mar-2024	Outperform	KRW 270000.00
27-Feb-2024	Outperform	KRW 220000.00
4-Jan-2024	Outperform	KRW 190000.00
12-Sep-2023	Outperform	KRW 170000.00

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